

House File 2754

H-8371

1 Amend House File 2754 as follows:

2 1. By striking everything after the enacting clause and
3 inserting:

4 <DIVISION I

5 CHARTER SCHOOLS

6 Section 1. Section 29E.1, subsection 1, paragraph b,
7 subparagraph (4), Code 2026, is amended by striking the
8 subparagraph.

9 Sec. 2. Section 232E.1, subsection 6, Code 2026, is amended
10 to read as follows:

11 6. "*Public school district*" means a public school district
12 as described in [chapter 274](#), and includes a charter school
13 under [chapter 256E](#), ~~or a charter school or an innovation zone~~
14 ~~school under [chapter 256F](#).~~

15 Sec. 3. Section 256.7, subsection 15, Code 2026, is amended
16 to read as follows:

17 15. Adopt rules under [chapter 17A](#) that require school
18 districts, accredited nonpublic schools, and charter schools,
19 ~~and innovation zone schools~~ to include information regarding
20 the exemptions and requirements for an exemption described
21 in [section 139A.8, subsection 4](#), in any communication to
22 the parent or guardian of a student that is related to the
23 immunizations required under [section 139A.8](#).

24 Sec. 4. Section 256.9, subsections 69, 71, 73, and 78, Code
25 2026, are amended to read as follows:

26 69. On or before May 1, 2025, develop and distribute to
27 school districts, accredited nonpublic schools, and charter
28 schools, ~~and innovation zone schools~~ model policies that, if
29 adopted, would satisfy a school district's responsibilities
30 under [section 279.88](#) relating to policies governing student use
31 of personal electronic devices.

32 71. Develop and distribute to school districts, accredited
33 nonpublic schools, and charter schools, ~~and innovation~~
34 ~~zone schools~~ family-centered resources to support student
35 development of mathematics knowledge at home.

1 73. On or before July 1, 2025, develop and distribute to
2 school districts, accredited nonpublic schools, and charter
3 schools,~~and innovation zone schools~~ a comprehensive state
4 mathematics plan that is designed to increase the level of
5 mathematics proficiency attained by students using systematic
6 and sequential approaches to teaching subitizing, cardinality,
7 object counting, verbal counting, spatial relationships,
8 benchmark numbers, and part-part-whole models.

9 78. *a.* Develop and distribute to school districts,
10 accredited nonpublic schools, and charter schools,~~and~~
11 ~~innovation zone schools~~ a test in multiple-choice format that
12 consists of all of the questions contained in the most recent
13 version of the civics test developed by the United States
14 citizenship and immigration services.

15 *b.* On or before the January 31 immediately subsequent to
16 each general election which is a presidential election, update
17 the test described in paragraph “*a*” and distribute the updated
18 test to school districts, accredited nonpublic schools, and
19 charter schools,~~and innovation zone schools~~.

20 Sec. 5. Section 256.163, subsection 1, Code 2026, is amended
21 by adding the following new paragraph:

22 NEW PARAGRAPH. *f.* A charter school established pursuant to
23 chapter 256E, subchapter I.

24 Sec. 6. Section 256E.1, subsection 2, paragraphs a and b,
25 Code 2026, are amended to read as follows:

26 *a.* A school board may create a founding group to apply to
27 the state board or the university of northern Iowa for approval
28 to establish and operate a charter school within and as a part
29 of the school district by establishing a new attendance center,
30 creating a new school within an existing attendance center, or
31 by converting an existing attendance center to charter status.

32 *b.* A founding group may apply to the state board or the
33 university of northern Iowa for approval to establish and
34 operate a charter school within the boundaries of the state
35 that operates as a new attendance center independently from a

1 public school district.

2 Sec. 7. Section 256E.1, subsection 3, unnumbered paragraph
3 1, Code 2026, is amended to read as follows:

4 The purpose of a charter school established pursuant to this
5 ~~chapter~~ subchapter shall be to accomplish the following:

6 Sec. 8. Section 256E.1, subsection 3, paragraph d, Code
7 2026, is amended to read as follows:

8 *d.* Accelerating student learning to prevent learning loss
9 during the ~~COVID-19 pandemic and other~~ significant disruptions
10 to student learning.

11 Sec. 9. Section 256E.1, subsection 4, Code 2026, is amended
12 to read as follows:

13 4. The state board of education and the university of
14 northern Iowa shall be the only ~~authorizer~~ authorizers of
15 charter schools under this chapter subchapter.

16 Sec. 10. Section 256E.2, unnumbered paragraph 1, Code 2026,
17 is amended to read as follows:

18 As used in this chapter subchapter, unless the context
19 otherwise requires:

20 Sec. 11. Section 256E.2, subsections 2 and 5, Code 2026, are
21 amended to read as follows:

22 2. "*Charter school*" means a school established in accordance
23 with this chapter subchapter.

24 5. "*Founding group*" means a person, group of persons,
25 or education service provider that develops and submits an
26 application for a charter school to the state board or the
27 university of northern Iowa under this chapter subchapter.

28 Sec. 12. Section 256E.3, Code 2026, is amended to read as
29 follows:

30 **256E.3 Department — duty to monitor.**

31 The department shall monitor the effectiveness of charter
32 schools and shall implement the applicable provisions of this
33 ~~chapter~~ subchapter.

34 Sec. 13. Section 256E.4, subsections 1, 2, 3, 5, 6, 7, 8, 9,
35 and 10, Code 2026, are amended to read as follows:

1 1. A school board may create a founding group to apply to
2 the state board or the university of northern Iowa for approval
3 to establish and operate a charter school within and as a part
4 of the school district by establishing a new attendance center,
5 creating a new school within an existing attendance center, or
6 by converting an existing attendance center. The application
7 shall demonstrate the founding group's academic and operational
8 vision and plans for the proposed charter school, demonstrate
9 the founding group's capacity to execute the vision and plans,
10 and provide the state board or the university of northern Iowa
11 a clear basis for assessing the founding group's plans and
12 capacity.

13 2. The state board, in consultation with the university
14 of northern Iowa, shall adopt rules to establish appropriate
15 application timelines and deadlines for the submission of
16 charter school applications under [this section](#).

17 3. The instructions for completing an application shall
18 include or otherwise inform applicants of all of the following:

19 a. The performance framework adopted by the state board, in
20 consultation with the university of northern Iowa, for charter
21 school oversight and evaluation requirements in accordance with
22 sections [256E.9](#) and [256E.10](#).

23 b. The criteria the state board or the university of
24 northern Iowa will use in evaluating applications.

25 c. The requirements concerning the format and content
26 essential for applicants to demonstrate the capacities
27 necessary to establish and operate a successful charter school.

28 5. If the founding group proposes to establish a charter
29 school by converting an existing attendance center of the
30 school district, the state board or the university of northern
31 Iowa shall not approve the application unless the founding
32 group submits evidence that the attendance center's teachers
33 and parents or guardians of students enrolled at the existing
34 attendance center voted in favor of the conversion. A vote
35 in favor of conversion under [this subsection](#) requires the

1 support of a majority of the teachers employed at the school
2 on the date of the vote and a majority of the parents or
3 guardians voting whose children are enrolled at the school,
4 provided that a majority of the parents or guardians eligible
5 to vote participate in the ballot process. The state board,
6 in consultation with the university of northern Iowa, shall
7 establish procedures by rule for voting under [this subsection](#).
8 A parent or guardian voting in accordance with [this subsection](#)
9 must be a resident of this state.

10 6. In reviewing and evaluating charter school applications,
11 the state board and the university of northern Iowa shall
12 employ procedures, practices, and criteria consistent with
13 nationally recognized principles and standards for reviewing
14 charter school applications. Each application review shall
15 include thorough evaluation of the written application, an
16 in-person interview with the founding group, and an opportunity
17 in a public forum for local residents to learn about and
18 provide input on each application.

19 7. Following review of a charter school application and
20 completion of the process required under [subsection 6](#), the
21 state board or the university of northern Iowa shall do all of
22 the following:

23 a. Approve a charter school application only if the founding
24 group has demonstrated competence in each element of the
25 approval criteria and if the founding group is likely to open
26 and operate a successful charter school.

27 b. Make application decisions on documented evidence
28 collected through the application review process.

29 c. Adhere to the policies and criteria that are transparent,
30 based on merit, and avoid conflicts of interest or any
31 appearance thereof.

32 8. The state board or the university of northern Iowa
33 shall approve a charter school application if the application
34 satisfies the requirements of [this chapter subchapter](#). The
35 state board or the university of northern Iowa shall approve or

1 deny a charter school application no later than seventy-five
2 calendar days after the application is received. If the state
3 board or the university of northern Iowa denies an application,
4 the state board or the university of northern Iowa shall
5 provide notice of denial to the founding group in writing
6 within thirty days after the state board's or the university
7 of northern Iowa's action. The notice shall specify the exact
8 reasons for denial and provide documentation supporting those
9 reasons. An approval decision may include, if appropriate,
10 reasonable conditions that the founding group must meet before
11 a charter school contract may be executed pursuant to section
12 256E.6. An approved charter application shall not serve as a
13 charter school contract.

14 9. A decision of the state board or the university of
15 northern Iowa relating to an application under [this section](#) is
16 not appealable.

17 10. An unsuccessful applicant under [this section](#) may
18 subsequently reapply to the state board or the university of
19 northern Iowa.

20 Sec. 14. Section 256E.4, subsection 4, paragraph ab, Code
21 2026, is amended to read as follows:

22 *ab.* The specific statutes and administrative rules with
23 which the charter school does not intend to comply. The
24 department, in consultation with the university of northern
25 Iowa, shall provide technical assistance to the applicant
26 concerning statutes and administrative rules that may be waived
27 under the charter school contract in order to facilitate the
28 goals of the charter school.

29 Sec. 15. Section 256E.5, subsections 1, 2, 3, 5, 6, 8, 9,
30 and 10, Code 2026, are amended to read as follows:

31 1. A founding group may apply to the state board or the
32 university of northern Iowa for approval to establish and
33 operate a charter school within the boundaries of the state
34 that operates as a new attendance center independently from a
35 public school district. The application shall demonstrate the

1 founding group's academic and operational vision and plans for
2 the proposed charter school, demonstrate the founding group's
3 capacity to execute the vision and plans, and provide the state
4 board or the university of northern Iowa a clear basis for
5 assessing the founding group's plans and capacity.

6 2. The state board, in consultation with the university
7 of northern Iowa, shall adopt rules to establish appropriate
8 application timelines and deadlines for the submission of
9 charter school applications under [this section](#).

10 3. The instructions for completing an application shall
11 include or otherwise inform applicants of all of the following:

12 a. The performance framework adopted by the state board, in
13 consultation with the university of northern Iowa, for charter
14 school oversight and evaluation requirements in accordance with
15 sections [256E.9](#) and [256E.10](#).

16 b. The criteria the state board or the university of
17 northern Iowa will use in evaluating applications.

18 c. The requirements concerning the format and content
19 essential for applicants to demonstrate the capacities
20 necessary to establish and operate a successful charter school.

21 5. In reviewing and evaluating charter school applications,
22 the state board and the university of northern Iowa shall
23 employ procedures, practices, and criteria consistent with
24 nationally recognized principles and standards for reviewing
25 charter school applications. Each application review shall
26 include thorough evaluation of the written application, an
27 in-person interview with the applicant, and an opportunity in a
28 public forum for local residents of the public school district
29 within which the applicant proposes to locate the charter
30 school to learn about and provide input on each application.

31 6. Following review of a charter school application and
32 completion of the process required under [subsection 5](#), the
33 state board or the university of northern Iowa shall do all of
34 the following:

35 a. Approve a charter school application only if the

1 applicant has demonstrated competence in each element of the
2 state board's or the university of northern Iowa's published
3 approval criteria and the applicant is likely to open and
4 operate a successful charter school.

5 **b.** Make application decisions on documented evidence
6 collected through the application review process.

7 **c.** Adhere to the policies and criteria that are transparent,
8 based on merit, and avoid conflicts of interest or any
9 appearance thereof.

10 8. The state board or the university of northern Iowa
11 shall approve a charter school application if the application
12 satisfies the requirements of this chapter subchapter. The
13 state board or the university of northern Iowa shall approve or
14 deny a charter school application no later than seventy-five
15 calendar days after the application is received. If the
16 state board or the university of northern Iowa denies an
17 application, the state board or the university of northern Iowa
18 shall provide notice of denial to the applicant in writing
19 within thirty days after board action. The notice shall
20 specify the exact reasons for denial and provide documentation
21 supporting those reasons. An approval decision may include,
22 if appropriate, reasonable conditions that the applicant must
23 meet before a charter school contract may be executed pursuant
24 to section 256E.6. An approved charter application shall not
25 serve as a charter school contract.

26 9. An unsuccessful charter school applicant may
27 subsequently reapply to the state board or the university of
28 northern Iowa.

29 10. A decision of the state board or the university of
30 northern Iowa relating to an application under this section is
31 not appealable.

32 Sec. 16. Section 256E.5, Code 2026, is amended by adding the
33 following new subsection:

34 NEW SUBSECTION. 1A. The governing board of a charter school
35 that is approved under this section shall be designated a local

1 education agency for the purpose of receiving federal funds for
2 all attendance centers that are under the jurisdiction of the
3 governing board.

4 Sec. 17. Section 256E.5, subsection 4, paragraph ab, Code
5 2026, is amended to read as follows:

6 *ab.* The specific statutes and administrative rules with
7 which the charter school does not intend to comply. The
8 department, in consultation with the university of northern
9 Iowa, shall provide technical assistance to the applicant
10 concerning statutes and administrative rules that may be waived
11 under the charter school contract in order to facilitate the
12 goals of the charter school.

13 Sec. 18. Section 256E.6, Code 2026, is amended to read as
14 follows:

15 **256E.6 Charter school contract.**

16 1. Within the later of thirty days following approval
17 of a charter school application or upon the satisfaction of
18 all reasonable conditions imposed on the applicant in the
19 charter school approval, if any, an enforceable and renewable
20 charter school contract shall be executed between the founding
21 group and the state board or the university of northern Iowa,
22 as applicable, setting forth the academic and operational
23 performance expectations and measures by which the charter
24 school will be evaluated pursuant to sections 256E.9 and
25 256E.10 and the other rights and duties of the parties.

26 2. An initial charter school contract shall be granted for
27 a term of five school budget years, commencing with the school
28 budget year in which the charter school opens. The charter
29 school contract shall include the beginning and ending dates
30 of the charter school contract term. An approved charter
31 school ~~may delay its opening for a period of time not to exceed~~
32 ~~one school year in order to plan and prepare for the charter~~
33 ~~school's opening~~ shall open on the first day of the school year
34 that is two school years immediately subsequent to the school
35 year in which the charter school contract is executed under

1 subsection 1; provided, however, that the approved charter
2 school may open on the first day of the school year that is
3 immediately subsequent to the school year in which the charter
4 school contract is executed under subsection 1 if the approved
5 charter school demonstrates adequate preparation to the state
6 board or the university of northern Iowa. If the charter
7 school requires an opening delay of more than ~~one school year~~
8 two school years immediately subsequent to the school year in
9 which the charter school contract is executed under subsection
10 1, the charter school may request an extension from the state
11 board or the university of northern Iowa.

12 3. Each charter school contract shall be signed by
13 the president of the state board or the president of the
14 university of northern Iowa, as applicable, and the president
15 or appropriate officer of the governing body of the founding
16 group.

17 4. Within fifteen days of the execution of a charter school
18 contract entered into by the state board or the university of
19 northern Iowa, the state board or the university of northern
20 Iowa shall notify the department and the department of
21 management of the name of the charter school and any applicable
22 education service provider, the proposed location of the
23 charter school, and the charter school's first year projected
24 enrollment.

25 5. A charter school approved under this ~~chapter~~ subchapter
26 shall not commence operations without a valid charter school
27 contract executed in accordance with this section and approved
28 in an open session of the state board or by the university of
29 northern Iowa.

30 6. The contract may provide for requirements or conditions
31 to govern and monitor the start-up progress of an approved
32 charter school ~~prior to the opening of the charter school~~
33 from the date the charter school contract is executed
34 through the date the charter school opens, including but not
35 limited to conditions to ensure that the charter school meets

1 all building, health, safety, insurance, and other legal
2 requirements.

3 7. A charter school contract may be amended to govern
4 multiple charter schools operated by the same applicant and
5 approved by the state board or the university of northern Iowa.
6 However, each charter school that is part of a charter school
7 contract shall be separate and distinct from any other charter
8 school governed by the contract.

9 Sec. 19. Section 256E.7, subsection 1, unnumbered paragraph
10 1, Code 2026, is amended to read as follows:

11 In order to fulfill the charter school's public purpose, a
12 charter school established under this chapter subchapter shall
13 be organized as a nonprofit education organization and shall
14 have all the powers necessary for carrying out the terms of
15 the charter school contract including but not limited to the
16 following, as applicable:

17 Sec. 20. Section 256E.7, subsection 2, unnumbered paragraph
18 1, Code 2026, is amended to read as follows:

19 A charter school established under this ~~chapter~~ subchapter
20 is exempt from all state statutes and rules and any local rule,
21 regulation, or policy, applicable to a noncharter school,
22 except that the charter school shall do all of the following:

23 Sec. 21. Section 256E.7, subsection 2, paragraphs g, i, and
24 w, Code 2026, are amended to read as follows:

25 g. Be subject to the same financial audits, audit
26 procedures, and audit requirements as a school district. The
27 audit shall be consistent with the requirements of sections
28 11.6, 11.14, 11.19, and 279.29, and section 256.9, subsection
29 20, except to the extent deviations are necessary because of
30 the program at the school. The department, the university
31 of northern Iowa, the auditor of state, or the legislative
32 services agency may conduct financial, program, or compliance
33 audits.

34 i. Provide instruction for at least the number of days
35 or hours required by section 279.10, subsection 1, unless

1 specifically waived by the state board or the university of
2 northern Iowa as part of the application process.

3 w. Comply with the requirements of [this chapter subchapter](#).

4 Sec. 22. Section 256E.7, subsection 2, paragraph h,
5 unnumbered paragraph 1, Code 2026, is amended to read as
6 follows:

7 Be subject to and comply with the requirements of section
8 256.7, subsection 21, and the educational standards of section
9 256.11, unless specifically waived by the state board or the
10 university of northern Iowa during the application process;
11 provided, however, that the state board or the university of
12 northern Iowa shall not waive any of the following educational
13 standards:

14 Sec. 23. Section 256E.7, subsection 9, Code 2026, is amended
15 to read as follows:

16 9. Individuals compensated by an education service provider
17 are prohibited from serving as a voting member on the governing
18 board of any charter school unless the state board or the
19 university of northern Iowa waives such prohibition.

20 Sec. 24. Section 256E.8, subsections 1 and 4, Code 2026, are
21 amended to read as follows:

22 1. Each student enrolled in a charter school established
23 under [this chapter subchapter](#) shall be counted, for state
24 school foundation purposes, in the student's district of
25 residence pursuant to [section 257.6, subsection 1](#), paragraph
26 "a", subparagraph (9), including any applicable amounts under
27 section 256B.9. For purposes of [this section](#), residence means
28 a residence under [section 282.1](#).

29 4. If necessary, and pursuant to rules adopted by the
30 state board, in consultation with the university of northern
31 Iowa, funding amounts required under [this section](#) for the
32 first school year of a new charter school shall be based on
33 enrollment estimates for the charter school included in the
34 charter school contract. The department, in consultation
35 with the university of northern Iowa, shall adopt rules to

1 establish a process for determining estimated enrollments for
2 charter school funding purposes in school years after the first
3 school year of a charter school. Amounts paid using estimated
4 enrollments shall be reconciled during subsequent payments
5 based on actual enrollment of the charter school during each
6 school year.

7 Sec. 25. Section 256E.9, subsection 1, unnumbered paragraph
8 1, Code 2026, is amended to read as follows:

9 The performance provisions within the charter school
10 contract shall be based on a performance framework adopted
11 by the state board, in consultation with the university
12 of northern Iowa, that clearly sets forth the academic and
13 operational performance indicators, measures, and metrics that
14 will guide the evaluation of the charter school by the state
15 board or the university of northern Iowa, without compromising
16 individual student privacy. The performance framework shall
17 include but is not limited to indicators, measures, and metrics
18 for all of the following:

19 Sec. 26. Section 256E.9, subsections 2 and 5, Code 2026, are
20 amended to read as follows:

21 2. Annual performance targets shall be agreed upon between
22 each charter school and the state board, in consultation
23 with the university of northern Iowa, if applicable. Such
24 performance targets shall be contained in the charter school
25 contract and shall be designed to help each charter school
26 meet applicable federal, state, and local standards. The
27 performance targets contained in the charter school contract
28 may be amended by mutual agreement after the charter school is
29 operating and has collected initial achievement data for the
30 charter school's students.

31 5. Each charter school established under this ~~chapter~~
32 subchapter shall be evaluated and graded by the department
33 pursuant to the attendance center performance ranking system
34 developed and adopted by the department.

35 Sec. 27. Section 256E.10, subsections 1, 2, 6, 8, 12, and

1 13, Code 2026, are amended to read as follows:

2 1. The state board and the university of northern Iowa shall
3 monitor the performance and compliance of each charter school
4 ~~the state board approves~~ approved by the state board or the
5 university of northern Iowa, including collecting and analyzing
6 data according to the charter school contract in order to meet
7 the requirements of this chapter subchapter. Such oversight
8 may include inquiries and investigation of the charter school
9 so long as the activities are consistent with the intent of
10 ~~this chapter subchapter~~, adhere to the terms of the charter
11 school contract, and do not unduly inhibit the autonomy granted
12 to the charter school. Any performance report resulting from
13 an inquiry or investigation under this section shall, upon
14 conclusion of such action, be included in the annual report
15 required under section 256E.12.

16 2. As part of the charter school contract, the charter
17 school shall submit an annual report to the state board or the
18 university of northern Iowa to assist the state board or the
19 university of northern Iowa in evaluating the charter school's
20 performance and compliance with the performance framework.

21 6. Annually, by June 30, the state board or the university
22 of northern Iowa, as applicable, shall issue a charter school
23 performance report and charter school contract renewal
24 application guidance to each charter school whose charter
25 school contract will expire during the following school budget
26 year. The performance report shall summarize the charter
27 school's performance record to date based on the data required
28 by the charter school contract and by ~~this chapter subchapter~~
29 and shall identify concerns that may jeopardize renewal of the
30 charter school contract if not remedied. The charter school
31 shall have sixty days to respond to the performance report and
32 submit any corrections or clarifications for the report.

33 8. No later than October 1, the governing board of a charter
34 school seeking renewal shall submit a renewal application to
35 the state board or the university of northern Iowa pursuant to

1 the renewal application guidance. A renewal or denial shall be
2 approved by resolution of the state board, or by the university
3 of northern Iowa, within sixty days following the filing of the
4 renewal application.

5 12. A decision to revoke or to not renew a charter school
6 contract shall be by resolution of the state board, or by
7 the university of northern Iowa, and shall clearly state the
8 reasons for the revocation or nonrenewal.

9 13. If a charter school has been evaluated and graded to
10 be in the exceptional category, or the highest rated category
11 under a succeeding evaluation system, under the evaluation and
12 grading required under [section 256E.9, subsection 5](#), for the
13 immediately preceding two school years, and the charter school
14 is in compliance with the current charter school contract and
15 all provisions of [this chapter subchapter](#), the charter school's
16 application renewal under [subsection 8](#) shall be renewed
17 for an additional period of time equal to the length of the
18 original charter school contract or the most recent renewal
19 of the contract, whichever is longer, unless the state board
20 or the university of northern Iowa provides written notice to
21 the charter school of the state board's or the university of
22 northern Iowa's rejection of the expedited renewal within sixty
23 days of the filing of the application. The state board or
24 the university of northern Iowa shall not reject an expedited
25 renewal application unless the state board or the university of
26 northern Iowa finds exceptional circumstances for the rejection
27 or seeks material changes to the charter school contract.

28 Sec. 28. Section 256E.10, subsection 9, unnumbered
29 paragraph 1, Code 2026, is amended to read as follows:

30 Unless eligible for expedited renewal under [subsection 13](#),
31 when reviewing a charter school contract renewal application,
32 the state board or the university of northern Iowa shall do all
33 of the following:

34 Sec. 29. Section 256E.10, subsection 10, unnumbered
35 paragraph 1, Code 2026, is amended to read as follows:

1 A charter school contract may be revoked at any time or not
2 renewed if the state board or the university of northern Iowa
3 determines that the charter school did any of the following:

4 Sec. 30. Section 256E.10, subsection 10, paragraph a, Code
5 2026, is amended to read as follows:

6 a. Committed a material violation of any of the terms,
7 conditions, standards, or procedures required under the charter
8 school contract or this chapter subchapter.

9 Sec. 31. Section 256E.10, subsection 11, unnumbered
10 paragraph 1, Code 2026, is amended to read as follows:

11 The state board, in consultation with the university of
12 northern Iowa, shall develop charter school contract revocation
13 and nonrenewal standards and procedures that do all of the
14 following:

15 Sec. 32. Section 256E.11, subsection 1, Code 2026, is
16 amended to read as follows:

17 1. Prior to any charter school closure decision, the state
18 board, in consultation with the university of northern Iowa,
19 shall develop a charter school closure protocol to ensure
20 timely notice to parents and guardians, provide for the orderly
21 transition of students and student records to new schools, and
22 to provide proper disposition of school funds, property, and
23 assets in accordance with the requirements of this ~~chapter~~
24 subchapter. The protocol shall specify required actions and
25 timelines and identify responsible parties for each such
26 action.

27 Sec. 33. Section 256E.12, Code 2026, is amended to read as
28 follows:

29 **256E.12 Reports.**

30 1. Each charter school shall prepare and file an annual
31 report with the department. The department, in consultation
32 with the university of northern Iowa, shall prescribe by rule
33 the required contents of the report, but each such report shall
34 include information regarding student achievement, including
35 annual academic growth and proficiency, graduation rates,

1 and financial performance and sustainability. The reports
2 are public records and the examination, publication, and
3 dissemination of the reports are governed by the provisions of
4 chapter 22.

5 2. The state board, in consultation with the university of
6 northern Iowa, shall prepare and file with the general assembly
7 by December 1, annually, a comprehensive report with findings
8 and recommendations relating to the charter school program in
9 the state and whether the charter school program under this
10 ~~chapter~~ subchapter is meeting the goals and purposes of the
11 program. The report also shall contain, for each charter
12 school, a copy of the charter school's mission statement,
13 attendance statistics and dropout rate, aggregate assessment
14 test scores, projections of financial stability, and the number
15 and qualifications of teachers and administrators.

16 Sec. 34. Section 256F.1, subsection 1, Code 2026, is amended
17 to read as follows:

18 1. Charter schools ~~and innovation zone schools~~ shall be part
19 of the state's program of public education.

20 Sec. 35. Section 256F.1, subsection 3, unnumbered paragraph
21 1, Code 2026, is amended to read as follows:

22 The purpose of a charter school ~~or an innovation zone school~~
23 established pursuant to this ~~chapter~~ subchapter shall be to
24 accomplish the following:

25 Sec. 36. Section 256F.1, subsection 4, Code 2026, is amended
26 by striking the subsection.

27 Sec. 37. Section 256F.2, unnumbered paragraph 1, Code 2026,
28 is amended to read as follows:

29 As used in this ~~chapter~~ subchapter, unless the context
30 otherwise requires:

31 Sec. 38. Section 256F.2, subsections 1 and 3, Code 2026, are
32 amended to read as follows:

33 1. "*Advisory council*" means a council appointed by the
34 school board of directors of a charter school ~~or an innovation~~
35 ~~zone consortium~~ pursuant to [section 256F.5, subsection 4](#).

1 3. “*Charter school*” means a charter school established in
2 accordance with this ~~chapter~~ subchapter.

3 Sec. 39. Section 256F.2, subsections 5 and 6, Code 2026, are
4 amended by striking the subsections.

5 Sec. 40. Section 256F.3, Code 2026, is amended to read as
6 follows:

7 **256F.3 Application Monitoring — no new approvals — adoption**
8 **of rules.**

9 1. The department shall monitor the effectiveness of
10 charter schools ~~and innovation zone schools~~ and shall implement
11 the applicable provisions of this ~~chapter~~ subchapter.

12 ~~2. a. To receive approval to establish a charter school~~
13 ~~in accordance with this chapter, the principal, teachers,~~
14 ~~or parents or guardians of students at an existing public~~
15 ~~school shall submit an application to the school board to~~
16 ~~convert an existing attendance center to a charter school.~~
17 ~~An attendance center shall not enter into a charter school~~
18 ~~contract with a school district under this chapter unless the~~
19 ~~attendance center is located within the school district. The~~
20 ~~application shall demonstrate the support of at least fifty~~
21 ~~percent of the teachers employed at the school on the date of~~
22 ~~the submission of the application and fifty percent of the~~
23 ~~parents or guardians voting whose children are enrolled at the~~
24 ~~school, provided that a majority of the parents or guardians~~
25 ~~eligible to vote participate in the ballot process, according~~
26 ~~to procedures established by rules of the state board.~~

27 ~~b. To receive approval to establish an innovation zone~~
28 ~~school in accordance with this chapter, an innovation zone~~
29 ~~consortium shall submit an application to the state board~~
30 ~~which demonstrates the support of at least fifty percent of~~
31 ~~the teachers employed at each proposed innovation zone school~~
32 ~~on the date of the submission of the application and fifty~~
33 ~~percent of the parents or guardians voting whose children are~~
34 ~~enrolled at each proposed innovation zone school, provided~~
35 ~~that a majority of the parents or guardians eligible to vote~~

1 ~~participate in the ballot process, according to procedures~~
2 ~~established by rules of the state board.~~

3 ~~c. A parent or guardian voting in accordance with this~~
4 ~~subsection must be a resident of this state.~~

5 ~~3. A school board shall receive and review all applications~~
6 ~~for converting an existing building or creating a new building~~
7 ~~for a charter school. Applications received on or before~~
8 ~~October 1 of a calendar year shall be considered for charter~~
9 ~~schools to be established at the beginning of the school~~
10 ~~district's next school year or at a time agreed to by the~~
11 ~~applicant and the school board. However, a school board may~~
12 ~~receive and consider applications after October 1 at its~~
13 ~~discretion.~~

14 ~~4. A school board shall by a majority vote approve or~~
15 ~~deny an application relating to a charter school no later~~
16 ~~than sixty calendar days after the application is received.~~
17 ~~An application approved by a school board and subsequently~~
18 ~~approved by the state board pursuant to [subsection 6](#) shall~~
19 ~~constitute, at a minimum, an agreement between the school board~~
20 ~~and the charter school for the operation of the charter school.~~
21 ~~A school board that denies an application for a conversion~~
22 ~~to a charter school shall provide notice of denial to the~~
23 ~~applicant in writing within thirty days after board action.~~
24 ~~The notice shall specify the exact reasons for denial and~~
25 ~~provide documentation supporting those reasons.~~

26 ~~5. An applicant may appeal school board denial of the~~
27 ~~applicant's charter school application to the state board~~
28 ~~in accordance with the procedures set forth in [chapter 290](#).~~
29 ~~The state board shall affirm, modify, or reverse the school~~
30 ~~board's decision on the basis of the information provided in~~
31 ~~the application indicating the ability and willingness of the~~
32 ~~proposed charter school to meet the requirements of section~~
33 ~~256F.1, subsection 3, and [section 256F.4](#).~~

34 ~~6. Upon approval of an application for the proposed~~
35 ~~establishment of a charter school, the school board shall~~

1 ~~submit an application for approval to establish the charter~~
2 ~~school to the state board in accordance with [section 256F.5](#).~~
3 7. ~~An application submitted to the state board pursuant to~~
4 ~~[subsection 2](#), paragraph "b", or [subsection 6](#) shall set forth the~~
5 ~~manner in which the charter school or innovation zone school~~
6 ~~will provide special instruction, in accordance with section~~
7 ~~280.4, to students who are English learners. The application~~
8 ~~shall set forth the manner in which the charter school or~~
9 ~~innovation zone school will comply with federal and state laws~~
10 ~~and regulations relating to the federal National School Lunch~~
11 ~~Act and the federal Child Nutrition Act of 1966, 42 U.S.C.~~
12 ~~§1751-1785, and [chapter 283A](#). The state board shall approve~~
13 ~~only those applications that meet the requirements specified in~~
14 ~~[section 256F.1](#), [subsection 3](#), and [sections 256F.4](#) and [256F.5](#).~~
15 ~~The state board may deny an application if the state board~~
16 ~~deems that approval of the application is not in the best~~
17 ~~interest of the affected students.~~
18 8. ~~The state board shall approve not more than ten~~
19 ~~innovation zone consortium applications.~~
20 9. 2. The state board shall not approve a new charter
21 school under this ~~chapter~~ subchapter on or after July 1, 2021.
22 10. 3. The state board shall adopt rules in accordance with
23 chapter 17A for the implementation of this ~~chapter~~ subchapter.
24 If federal rules or regulations relating to the distribution
25 or utilization of federal funds allocated to the department
26 pursuant to [this section](#) are adopted that are inconsistent
27 with the provisions of this ~~chapter~~ subchapter, the state
28 board shall adopt rules to comply with the requirements of the
29 federal rules or regulations. The state board shall identify
30 inconsistencies between federal and state rules and regulations
31 as provided in [this subsection](#) and shall submit recommendations
32 for legislative action to the chairpersons and ranking members
33 of the senate and house standing committees on education at the
34 next meeting of the general assembly.
35 Sec. 41. Section 256F.4, subsection 1, Code 2026, is amended

1 by striking the subsection.

2 Sec. 42. Section 256F.4, subsection 2, unnumbered paragraph
3 1, Code 2026, is amended to read as follows:

4 Although a charter school ~~or innovation zone school~~ may
5 elect to comply with one or more provisions of statute or
6 administrative rule, a charter school ~~or innovation zone school~~
7 is exempt from all statutes and rules applicable to a school,
8 a school board, or a school district, except that the charter
9 school ~~or innovation zone school~~ shall do all of the following:

10 Sec. 43. Section 256F.4, subsection 2, paragraphs a and h,
11 Code 2026, are amended to read as follows:

12 a. Meet all applicable federal, state, and local health and
13 safety requirements and laws prohibiting discrimination on the
14 basis of race, creed, color, sex, sexual orientation, national
15 origin, religion, ancestry, or disability. A charter school
16 ~~or innovation zone school~~ located within the boundaries of a
17 school district subject to court-ordered desegregation at the
18 time the charter school ~~or innovation zone school~~ application
19 is approved shall be subject to the desegregation order unless
20 otherwise specifically provided for in the desegregation order.

21 h. Be subject to and comply with [chapter 284](#) relating to
22 the student achievement and teacher quality program. A charter
23 school ~~or innovation zone school~~ that complies with chapter
24 284 shall receive state moneys or be eligible to receive state
25 moneys calculated as provided in section 257.10, subsections
26 9 and 10, and [section 257.37A](#) as if it did not operate under a
27 charter school ~~or innovation zone school~~ contract.

28 Sec. 44. Section 256F.4, subsection 2, Code 2026, is amended
29 by adding the following new paragraph:

30 NEW PARAGRAPH. v. Be subject to and comply with the
31 requirements of section 256E.9 related to the incorporation
32 into the charter school contract of a performance framework
33 that is used by the state board to evaluate the charter school
34 in the same manner as a charter school established under
35 subchapter I.

1 Sec. 45. Section 256F.4, subsections 3, 4, 5, 6, 7, and 8,
2 Code 2026, are amended to read as follows:

3 3. A charter school ~~or innovation zone school~~ shall not
4 discriminate in its student admissions policies or practices
5 on the basis of intellectual or athletic ability, measures
6 of achievement or aptitude, or status as a person with a
7 disability. However, a charter school ~~or innovation zone~~
8 ~~school~~ may limit admission to students who are within a
9 particular range of ages or grade levels or on any other
10 basis that would be legal if initiated by a school district.
11 Enrollment priority shall be given to the siblings of students
12 enrolled in a charter school ~~or innovation zone school~~.

13 4. A charter school ~~or innovation zone school~~ shall
14 enroll an eligible resident student who submits a timely
15 application unless the number of applications exceeds the
16 capacity of a program, class, grade level, or building. In
17 this case, students must be accepted by lot. A charter school
18 ~~or innovation zone school~~ may enroll an eligible nonresident
19 student who submits a timely application in accordance with
20 the student admission policy established pursuant to section
21 256F.5, subsection 1. If the charter school ~~or innovation zone~~
22 ~~school~~ enrolls an eligible nonresident student, the charter
23 school ~~or innovation zone school~~ shall notify the school
24 district of residence and the sending district not later than
25 March 1 of the preceding school year. Transportation for the
26 student shall be in accordance with section 282.18, subsection
27 10. The sending district shall make payments to the charter
28 school ~~or innovation zone consortium~~ in the manner required
29 under [section 282.18, subsection 7](#). ~~If the nonresident pupil~~
30 ~~is also an eligible pupil under [section 261E.6](#), the innovation~~
31 ~~zone consortium shall pay the tuition reimbursement amount to~~
32 ~~an eligible postsecondary institution as provided in section~~
33 ~~261E.7.~~

34 5. A charter school ~~or innovation zone school~~ shall provide
35 instruction for at least the number of days or hours required

1 by [section 279.10, subsection 1.](#)

2 6. Notwithstanding [subsection 2](#), a charter school ~~or~~
3 ~~innovation zone school~~ shall meet the requirements of section
4 256.7, subsection 21.

5 7. ~~a.~~ A charter school shall be considered a part of the
6 school district in which it is located for purposes of state
7 school foundation aid pursuant to [chapter 257](#).

8 ~~b. Students enrolled in an innovation zone school shall~~
9 ~~be counted, for state school foundation aid purposes, in the~~
10 ~~student's district of residence.~~

11 8. A charter school ~~or innovation zone consortium~~ may enter
12 into contracts in accordance with [chapter 26](#).

13 Sec. 46. Section 256F.5, unnumbered paragraph 1, Code 2026,
14 is amended to read as follows:

15 An application to the state board for the approval of a
16 charter school ~~or innovation zone school~~ shall include but
17 shall not be limited to a description of the following:

18 Sec. 47. Section 256F.5, subsections 1, 2, 4, 6, 7, 10,
19 12, 13, 14, 15, 16, and 17, Code 2026, are amended to read as
20 follows:

21 1. The method for admission to the charter school ~~or~~
22 ~~innovation zone school~~.

23 2. The mission, purpose, innovation, and specialized focus
24 of the charter school ~~or innovation zone school~~.

25 4. The method for appointing or forming an advisory
26 council for the charter school ~~or innovation zone school~~.
27 The membership of an advisory council appointed or formed in
28 accordance with this ~~chapter~~ subchapter shall not include more
29 than one member of a participating school board.

30 6. The charter school ~~or innovation zone school~~ governance
31 and bylaws.

32 7. The financial plan for the operation of the charter
33 school ~~or innovation zone school~~ including, at a minimum,
34 a listing of the support services the school district ~~or~~
35 ~~innovation zone consortium~~ will provide, and the charter

1 ~~school or innovation zone~~ school's revenues, budgets, and
2 expenditures.

3 10. The organization of the charter school ~~or innovation~~
4 ~~zone school~~ in terms of ages of students or grades to be taught
5 along with an estimate of the total enrollment of the charter
6 school ~~or innovation zone school~~.

7 12. A statement indicating how the charter school ~~or~~
8 ~~innovation zone school~~ will meet the requirements of section
9 256F.1, as applicable; [section 256F.4, subsection 2](#), paragraph
10 "a"; and [section 256F.4, subsection 3](#).

11 13. Assurance of the assumption of liability by the charter
12 school ~~or the innovation zone consortium for the innovation~~
13 ~~zone school~~.

14 14. The types and amounts of insurance coverage to be
15 obtained by the charter school ~~or innovation zone consortium~~
16 ~~for the innovation zone school~~.

17 15. A plan of operation to be implemented if the charter
18 school ~~or innovation zone consortium~~ revokes or fails to renew
19 its contract.

20 16. The means, costs, and plan for providing transportation
21 for students enrolled in the charter school ~~or innovation zone~~
22 ~~school~~.

23 17. The specific statutes, administrative rules, and school
24 board policies with which the charter school ~~or innovation zone~~
25 ~~school~~ does not intend to comply.

26 Sec. 48. Section 256F.6, subsections 1 and 3, Code 2026, are
27 amended to read as follows:

28 1. a. An approved charter school ~~or innovation zone school~~
29 application shall constitute an agreement, the terms of which
30 shall, at a minimum, be the terms of a ~~four-year~~ five-year
31 enforceable, renewable contract between a school board, ~~or the~~
32 ~~boards participating in an innovation zone consortium,~~ and the
33 state board. ~~The contract shall include an operating agreement~~
34 ~~for the operation of the charter school or innovation zone~~
35 ~~school~~. The terms of the contract may be revised at any time

1 with the approval of both the state board and the school board
2 ~~or the boards participating in the innovation zone consortium,~~
3 whether or not the stated provisions of the contract are being
4 fulfilled. The contract must include all of the following:

5 (1) An operating agreement for the operation of the charter
6 school.

7 (2) A performance framework as required under section
8 256F.4, subsection 2, paragraph "v".

9 b. A contract may be renewed by agreement of the school
10 board ~~or the boards participating in an innovation zone~~
11 ~~consortium, as applicable,~~ and the state board.

12 c. The charter school ~~or innovation zone consortium~~ shall
13 provide parents and guardians of students enrolled in the
14 charter school ~~or innovation zone school~~ with a copy of the
15 charter school ~~or innovation zone school~~ application approved
16 pursuant to [section 256F.5](#).

17 3. The state board of education shall provide by rule for
18 the ongoing review of each party's compliance with a contract
19 entered into in accordance with this ~~chapter~~ subchapter.

20 Sec. 49. Section 256F.7, Code 2026, is amended to read as
21 follows:

22 **256F.7 Employment and related matters.**

23 1. A charter school ~~or the boards participating in an~~
24 ~~innovation zone consortium~~ shall employ or contract with
25 necessary teachers and administrators, as defined in section
26 256.145, who hold a valid license with an endorsement for the
27 type of service for which the teacher or administrator is
28 employed.

29 2. The school board ~~or innovation zone consortium, as~~
30 ~~specified in the application,~~ in consultation with the advisory
31 council, shall decide matters related to the operation of the
32 charter school ~~or innovation zone school~~, including budgeting,
33 curriculum, and operating procedures.

34 3. ~~a.~~ Employees of a charter school shall be considered
35 employees of the school district.

1 ~~b. Employees of an innovation zone school shall be~~
2 ~~considered employees of a board participating in the innovation~~
3 ~~zone consortium.~~

4 Sec. 50. Section 256F.8, subsections 1, 2, 3, 4, and 6, Code
5 2026, are amended to read as follows:

6 1. A contract for the establishment of a charter school ~~or~~
7 ~~innovation zone school~~ may be revoked by the state board, or
8 the school board that established the charter school, ~~or the~~
9 ~~innovation zone consortium that established the innovation zone~~
10 ~~school~~ if the appropriate board ~~or consortium~~ determines that
11 one or more of the following occurred:

12 a. Failure of the charter school ~~or innovation zone school~~
13 to abide by and meet the provisions set forth in the contract,
14 including educational goals.

15 b. Failure of the charter school ~~or innovation zone school~~
16 to comply with all applicable law.

17 c. Failure of the charter school ~~or innovation zone school~~
18 to meet generally accepted public sector accounting principles.

19 d. The existence of one or more other grounds for revocation
20 as specified in the contract.

21 e. Assessment of student progress, which is administered
22 in accordance with state and locally determined indicators
23 established pursuant to rules adopted by the state board,
24 does not show improvement in student progress over that
25 which existed in the same student population prior to the
26 establishment of the charter school ~~or the innovation zone~~
27 ~~school~~.

28 2. The decision by a school board ~~or an innovation zone~~
29 ~~consortium~~ to revoke or to fail to take action to renew a
30 charter school ~~or innovation zone school~~ contract is subject to
31 appeal under procedures set forth in [chapter 290](#).

32 3. A school board ~~or a board participating in an innovation~~
33 ~~zone consortium~~ that is considering revocation or nonrenewal
34 of a charter school ~~or innovation zone school~~ contract shall
35 notify the advisory council, the parents or guardians of the

1 students enrolled in the charter school ~~or innovation zone~~
2 ~~school~~, and the teachers and administrators employed by the
3 charter school ~~or innovation zone school~~, sixty days prior to
4 revoking or the date by which the contract must be renewed, but
5 not later than the last day of classes in the school year.

6 4. If the state board determines that a charter school ~~or~~
7 ~~innovation zone school~~ is in substantial violation of the terms
8 of the contract, the state board shall notify the school board
9 ~~or innovation zone consortium~~ and the advisory council of its
10 intention to revoke the contract at least sixty days prior to
11 revoking a contract and the school board ~~or the school boards~~
12 ~~participating in the innovation zone consortium~~ shall assume
13 oversight authority, operational authority, or both oversight
14 and operational authority. The notice shall state the
15 grounds for the proposed action in writing and in reasonable
16 detail. The school board ~~or innovation zone consortium~~ may
17 request in writing an informal hearing before the state board
18 within fourteen days of receiving notice of revocation of
19 the contract. Upon receiving a timely written request for a
20 hearing, the state board shall give reasonable notice to the
21 school board ~~or innovation zone consortium~~ of the hearing
22 date. The state board shall conduct an informal hearing before
23 taking final action. Final action to revoke a contract shall
24 be taken in a manner least disruptive to students enrolled in
25 the charter school ~~or innovation zone school~~. The state board
26 shall take final action to revoke or approve continuation of
27 a contract by the last day of classes in the school year. If
28 the final action to revoke a contract under [this section](#) occurs
29 prior to the last day of classes in the school year, a charter
30 school ~~or innovation zone school~~ student may enroll in the
31 resident district.

32 6. A school board revoking a contract or a school board,
33 ~~innovation zone consortium~~, or advisory council that fails to
34 renew a contract under this ~~chapter~~ subchapter is not liable
35 for that action to the charter school ~~or innovation zone~~

1 ~~school~~, a student enrolled in the charter school ~~or innovation~~
2 ~~zone school~~ or the student's parent or guardian, or any other
3 person.

4 Sec. 51. Section 256F.9, Code 2026, is amended to read as
5 follows:

6 **256F.9 Procedures after revocation — student enrollment.**

7 If a charter school ~~or innovation zone school~~ contract
8 is revoked in accordance with this ~~chapter~~ subchapter, a
9 nonresident student who attended the school, and any siblings
10 of the student may submit an application to another school
11 district according to [section 282.18](#). Applications and notices
12 required by [section 282.18](#) shall be processed and provided in a
13 prompt manner.

14 Sec. 52. Section 256F.10, Code 2026, is amended to read as
15 follows:

16 **256F.10 Reports.**

17 1. A charter school ~~or innovation zone school~~ shall
18 report at least annually to the school board ~~or innovation~~
19 ~~zone consortium~~, advisory council, and the state board the
20 information required by the school board ~~or innovation zone~~
21 ~~consortium~~, advisory council, or the state board. The reports
22 are public records subject to [chapter 22](#).

23 2. Not later than December 1 annually, the state board shall
24 submit a comprehensive report with findings and recommendations
25 to the general assembly. The report shall evaluate the state's
26 charter school ~~and innovation zone school~~ programs generally,
27 including but not limited to an evaluation of whether the
28 charter schools ~~and innovation zone schools~~ are fulfilling the
29 purposes set forth in [section 256F.4, subsection 2](#). The report
30 also shall contain, for each charter school ~~or innovation~~
31 ~~zone school~~, a copy of the charter ~~school or innovation~~
32 ~~zone~~ school's mission statement, attendance statistics and
33 dropout rate, aggregate assessment test scores, projections of
34 financial stability, the number and qualifications of teachers
35 and administrators, and number of and comments on supervisory

1 visits by the department of education.

2 Sec. 53. Section 256F.12, Code 2026, is amended to read as
3 follows:

4 **256F.12 Operation of existing charter schools.**

5 Charter schools established under this ~~chapter~~ subchapter
6 prior to July 1, 2021, shall continue to operate under and be
7 subject to the requirements of this ~~chapter~~ subchapter and
8 shall not be subject to ~~chapter 256E~~ subchapter I.

9 Sec. 54. Section 257.6, subsection 1, paragraph a,
10 subparagraph (9), Code 2026, is amended to read as follows:

11 (9) Resident pupils enrolled in a charter school under
12 chapter 256E ~~or 256F~~.

13 Sec. 55. Section 280.36, subsection 3, Code 2026, is amended
14 to read as follows:

15 3. The board of directors of a school district or the
16 authorities in charge of an accredited nonpublic school
17 may enter into an agreement with another school district,
18 accredited nonpublic school, or charter school, ~~or innovation~~
19 ~~zone school~~ to create a multidisciplinary school safety
20 assessment team that shall coordinate resources among the
21 schools and assess and intervene when a student enrolled in
22 either school exhibits behavior that may pose a threat to
23 the safety of either school, employees of either school, or
24 students enrolled in either school.

25 Sec. 56. Section 282.9, subsection 1, Code 2026, is amended
26 to read as follows:

27 1. Notwithstanding sections 256E.7, ~~256F.4~~ 256E.23,
28 275.55A, and 282.18, or any other provision to the contrary,
29 prior to knowingly enrolling an individual who is required
30 to register as a sex offender under chapter 692A, but who is
31 otherwise eligible to enroll in a public school, the board of
32 directors of a school district shall determine the educational
33 placement of the individual. Upon receipt of notice that a
34 student who is enrolled in the district is required to register
35 as a sex offender under chapter 692A, the board shall determine

1 the educational placement of the student. The tentative agenda
2 for the meeting of the board of directors at which the board
3 will consider such enrollment or educational placement shall
4 specifically state that the board is considering the enrollment
5 or educational placement of an individual who is required
6 to register as a sex offender under [chapter 692A](#). If the
7 individual is denied enrollment in a school district under this
8 section, the school district of residence shall provide the
9 individual with educational services in an alternative setting.

10 Sec. 57. Section 282.18, subsection 11, paragraph a,
11 subparagraph (8), Code 2026, is amended to read as follows:

12 (8) If the pupil participates in open enrollment because
13 of circumstances that meet the definition of good cause. For
14 purposes of [this section](#), "*good cause*" means a change in a
15 child's residence due to a change in family residence, a change
16 in a child's residence from the residence of one parent or
17 guardian to the residence of a different parent or guardian, a
18 change in the state in which the family residence is located,
19 a change in a child's parents' marital status, a guardianship
20 or custody proceeding, placement in foster care, adoption,
21 participation in a foreign exchange program, initial placement
22 of a prekindergarten student in a special education program
23 requiring specially designed instruction, or participation in
24 a substance use disorder or mental health treatment program,
25 a change in the status of a child's resident district such
26 as removal of accreditation by the state board, surrender of
27 accreditation, or permanent closure of a nonpublic school,
28 revocation of a charter school contract as provided in section
29 ~~256E.10 or 256F.8~~ [256E.27](#), the failure of negotiations for a
30 whole grade sharing, reorganization, dissolution agreement, or
31 the rejection of a current whole grade sharing agreement, or
32 reorganization plan.

33 Sec. 58. Section 297.24, subsection 3, paragraph d, Code
34 2026, is amended by striking the paragraph.

35 Sec. 59. CODE EDITOR DIRECTIVE — TRANSFERS — NEW

1 SUBCHAPTERS.

2 1. The Code editor is directed to make the following
3 transfers:

- 4 a. Section 256F.1 to section 256E.20.
- 5 b. Section 256F.2 to section 256E.21.
- 6 c. Section 256F.3 to section 256E.22.
- 7 d. Section 256F.4 to section 256E.23.
- 8 e. Section 256F.5 to section 256E.24.
- 9 f. Section 256F.6 to section 256E.25.
- 10 g. Section 256F.7 to section 256E.26.
- 11 h. Section 256F.8 to section 256E.27.
- 12 i. Section 256F.9 to section 256E.28.
- 13 j. Section 256F.10 to section 256E.29.
- 14 k. Section 256F.12 to section 256E.30.

15 2. The Code editor is directed to create two new subchapters
16 in chapter 256E as follows:

17 a. Subchapter I shall be entitled "Charter Schools" and
18 include sections 256E.1 through 256E.13.

19 b. Subchapter II shall be entitled "Legacy Charter Schools"
20 and include sections 256E.20 through 256E.30.

21 3. The Code editor is directed to make changes in any Code
22 sections or other noncodified enactments amended or enacted
23 by any other Act to correspond with the changes made in this
24 Act if there appears to be no doubt as to the proper method of
25 making the changes and the changes would not be contrary to or
26 inconsistent with the purposes of this Act or any other Act.

27 Sec. 60. APPLICABILITY. The following applies to charter
28 school contracts that are executed or renewed pursuant to
29 chapter 256E on or after the effective date of this division
30 of this Act:

31 The section of this division of this Act amending section
32 256E.6.

33 Sec. 61. APPLICABILITY. The following apply to charter
34 school contracts entered into under section 256F.6 between a
35 school board and the state board of education that are renewed

1 on or after the effective date of this division of this Act:

2 1. The section of this division of this Act amending
3 section 256F.4, subsection 2, by requiring charter schools to
4 incorporate a performance framework into the charter school
5 contract.

6 2. The section of this division of this Act amending section
7 256F.6, subsection 1, paragraph "a".

8 DIVISION II

9 FUNDING AND AREA EDUCATION AGENCY SERVICES

10 Sec. 62. Section 256E.8, subsection 2, paragraph a, Code
11 2026, is amended to read as follows:

12 a. The charter school in which the student is enrolled
13 shall receive under paragraph "c" an amount equal to the sum
14 of the regular program state cost per pupil for the budget
15 year plus the teacher leadership supplement state cost per
16 pupil, the teacher salary supplement state cost per pupil, the
17 professional development supplement state cost per pupil, and
18 the early intervention supplement state cost per pupil for
19 the budget year as provided in [section 257.9](#) plus any moneys
20 that would be due to the school district of residence for the
21 student as a result of the non-English speaking weighting under
22 section 280.4, subsection 3, for the budget year multiplied by
23 the state cost per pupil for the budget year. If a student
24 is an eligible pupil under [section 261E.6](#), the charter school
25 shall pay the tuition reimbursement amount to an eligible
26 postsecondary institution as provided in [section 261E.7](#).

27 Sec. 63. Section 257.35, Code 2026, is amended by adding the
28 following new subsection:

29 NEW SUBSECTION. 21A. The director of the department of
30 management may deduct the following from the state aid due to
31 each school district pursuant to this chapter and shall pay
32 the amounts to the respective area education agencies on a
33 monthly basis from September 15 through June 15 during each
34 school year for purposes of providing services to students
35 enrolled in charter schools established pursuant to chapter

1 256E, subchapter I, within the boundaries of the area education
2 agency:

3 a. The amount calculated for media services for the school
4 district that is attributable to the number of students
5 enrolled in charter schools established pursuant to chapter
6 256E, subchapter I, within the school district who are provided
7 with media services by an area education agency.

8 b. The amount calculated for educational services for the
9 school district that is attributable to the number of students
10 enrolled in charter schools established pursuant to chapter
11 256E, subchapter I, within the school district who are provided
12 with educational services by an area education agency.

13 Sec. 64. Section 273.2, subsection 3, paragraph a, Code
14 2026, is amended to read as follows:

15 a. The area education agency shall furnish educational
16 services and programs as provided in [section 273.1](#), this
17 section, [sections 273.3 through 273.8](#), and [chapter 256B](#) to
18 pupils enrolled in public or nonpublic schools which are on
19 the list of accredited schools pursuant to [section 256.11](#), and
20 to pupils enrolled in charter schools established pursuant
21 to chapter 256E, subchapter I, which request to receive such
22 services. The programs and services provided shall be at least
23 commensurate with programs and services existing on July 1,
24 1974. The programs and services provided to pupils enrolled
25 in nonpublic schools shall be comparable to programs and
26 services provided to pupils enrolled in public schools within
27 constitutional guidelines.

28 Sec. 65. Section 273.2, subsection 4, Code 2026, is amended
29 to read as follows:

30 4. The area education agency shall provide for special
31 education services and media services for school districts
32 and shall encourage and assist school districts to establish
33 programs for gifted and talented children. The area education
34 agency shall provide for media services for charter schools
35 established pursuant to chapter 256E, subchapter I. The area

1 education agency shall assist in facilitating interlibrary
2 loans of materials between school districts and other
3 libraries.

4 Sec. 66. APPLICABILITY. The following apply to school
5 budget years beginning on or after July 1, 2026:

6 1. The section of this division of this Act amending section
7 256E.8, subsection 2, paragraph "a".

8 2. The section of this division of this Act amending section
9 257.35.

10 DIVISION III
11 EXTRACURRICULAR ACTIVITIES

12 Sec. 67. Section 280.13D, Code 2026, is amended to read as
13 follows:

14 **280.13D Participation in extracurricular interscholastic
15 athletic contests or competitions and extracurricular activities
16 provided by public schools.**

17 1. *a.* The board of directors of a school district shall
18 allow a student who resides within the school district, and
19 who is enrolled in a nonpublic school or a charter school
20 established pursuant to chapter 256E, subchapter I, to
21 participate in any extracurricular interscholastic athletic
22 contest or competition, and any extracurricular activity,
23 including theater, show choir, and band, that is provided by
24 the school district pursuant to the terms of an agreement
25 between the board of directors of the school district and the
26 authorities in charge of the nonpublic school or the governing
27 board of the charter school, as applicable, that provides
28 for the eligibility of the student, if all of the following
29 criteria are satisfied:

30 (1) The extracurricular interscholastic athletic contest or
31 competition or extracurricular activity has not been provided
32 by the nonpublic school or the charter school during the two
33 immediately preceding school years.

34 (2) The nonpublic school or charter school has not entered
35 into an agreement under [section 280.13A](#) with another school

1 district, nonpublic school, or charter school that provides
2 for the eligibility of students enrolled in the nonpublic
3 school or charter school to participate in the extracurricular
4 interscholastic athletic contest or competition or any
5 extracurricular activity that is being provided by that school
6 district, nonpublic school, or charter school.

7 **b.** The board of directors of a school district shall allow
8 a student who resides within a contiguous school district,
9 and who is enrolled in a nonpublic school or a charter school
10 established pursuant to chapter 256E, subchapter I, to
11 participate in any extracurricular interscholastic athletic
12 contest or competition and any extracurricular activity that
13 is provided by the school district pursuant to the terms of an
14 agreement between the board of directors of the school district
15 and the authorities in charge of the nonpublic school or the
16 governing board of the charter school, as applicable, that
17 provides for the eligibility of the student, if all of the
18 following criteria are satisfied:

19 (1) The extracurricular interscholastic athletic contest or
20 competition or extracurricular activity has not been provided
21 by the nonpublic school or charter school, or by the student's
22 school district of residence, during the two immediately
23 preceding school years.

24 (2) The nonpublic school or charter school has not
25 entered into an agreement under [section 280.13A](#) with another
26 school district, nonpublic school, or charter school that
27 provides for the eligibility of students enrolled in the
28 nonpublic school or charter school to participate in the
29 extracurricular interscholastic athletic contest or competition
30 or extracurricular activity that is being provided by that
31 school district, nonpublic school, or charter school.

32 **c.** If the board of directors of a school district has
33 established a fee for the cost of a student's participation
34 in an extracurricular interscholastic athletic contest or
35 competition or extracurricular activity, a student who is

1 enrolled in a nonpublic school or a charter school established
2 pursuant to chapter 256E, subchapter I, and is participating
3 ~~in a contest or competition~~ an extracurricular interscholastic
4 contest or competition or extracurricular activity at a public
5 school pursuant to paragraph "a" or "b", or the student's parent
6 or guardian, shall be responsible for the payment of such fee.
7 The amount of such fee shall not exceed the amount of the fee
8 the board of directors of the school district has established
9 for students who are enrolled in the school district.

10 2. A student who is enrolled in a nonpublic school or
11 a charter school established pursuant to chapter 256E,
12 subchapter I, and is participating in ~~a contest or competition~~
13 an extracurricular interscholastic contest or competition
14 or extracurricular activity at a public school pursuant to
15 subsection 1, paragraph "a" or "b", shall participate under
16 the same conditions as a student who is enrolled in the school
17 district, including meeting the school district's student code
18 of conduct requirements.

19 3. A student who participates in an extracurricular
20 interscholastic athletic contest or competition or
21 extracurricular activity pursuant to [this section](#) shall be
22 deemed to satisfy the residence requirements for purposes of
23 section 256.46.

24 DIVISION IV

25 DRIVER EDUCATION

26 Sec. 68. Section 321.178, subsection 1, paragraph c, Code
27 2026, is amended to read as follows:

28 c. (1) (a) Every public school district in Iowa shall
29 offer or make available to all students residing in the school
30 district, or Iowa students attending a nonpublic school or
31 receiving competent private instruction or independent private
32 instruction as defined in [section 299A.1](#), in the district, an
33 approved course in driver education.

34 (b) (i) Every public school district in Iowa shall offer
35 or make available to all Iowa students residing in the school

1 district who attend a charter school established pursuant
2 to chapter 256E, subchapter I, an approved course in driver
3 education pursuant to policies established by the public school
4 district. The charter school shall be responsible for the
5 payment of all of the school district's costs associated with
6 providing the approved course in driver education to such
7 students.

8 (ii) Every charter school established pursuant to chapter
9 256E, subchapter I, shall offer or make available to all
10 students attending the charter school an approved course in
11 driver education.

12 (c) The receiving district shall be the school district
13 responsible for making driver education available to a student
14 participating in open enrollment under [section 282.18](#).

15 (2) The courses may be offered at sites other than at the
16 public school or charter school, including nonpublic school
17 facilities within the public school districts. An approved
18 course offered during the summer months, on Saturdays, after
19 regular school hours during the regular terms or partly in one
20 term or summer vacation period and partly in the succeeding
21 term or summer vacation period, as the case may be, shall
22 satisfy the requirements of [this section](#) to the same extent
23 as an approved course offered during the regular school hours
24 of the school term. A student who successfully completes and
25 obtains certification in an approved course in driver education
26 or an approved course in motorcycle education may, upon proof
27 of such fact, be excused from any field test which the student
28 would otherwise be required to take in demonstrating the
29 student's ability to operate a motor vehicle. A student shall
30 not be excused from any field test if a parent, guardian,
31 or instructor requests that a test be administered. A final
32 field test prior to a student's completion of an approved
33 course shall be administered by a person qualified to provide
34 street or highway driving instruction under paragraph "b",
35 subparagraph (2).

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DIVISION V

IOWA PUBLIC EMPLOYEES' RETIREMENT SYSTEM

Sec. 69. Section 97B.1A, subsection 8, paragraph a, Code 2026, is amended by adding the following new subparagraph:

NEW SUBPARAGRAPH. (13) Persons employed by a charter school established pursuant to chapter 256E, subchapter I, that satisfies all applicable requirements under federal law for participation in the retirement system.

Sec. 70. Section 97B.1A, subsection 9, paragraph a, Code 2026, is amended to read as follows:

a. "Employer" means the state of Iowa, the counties, municipalities, agencies, public school districts, charter schools established pursuant to chapter 256E, subchapter I, that satisfy all applicable requirements under federal law for participation in the retirement system, all political subdivisions, and all of their departments and instrumentalities, including area agencies on aging, other than those employing persons as specified in subsection 8, paragraph "b", subparagraph (7), and joint planning commissions created under chapter 28E or 28I.

Sec. 71. Section 256E.11, subsection 2, Code 2026, is amended to read as follows:

2. In the event of a charter school closure, the assets of the charter school shall be used first to satisfy outstanding payroll obligations for employees of the school and any liabilities due and owing to the Iowa public employees' retirement system, then to creditors of the school, then to the public school district in which the charter school operated, if applicable, and then to the state general fund. If the assets of the charter school are insufficient to pay all obligations of the charter school, the prioritization of the distribution of assets shall be consistent with this subsection and otherwise determined by the district court.

DIVISION VI

CHARTER SCHOOL FACILITIES REVOLVING LOAN PROGRAM

1 Sec. 72. NEW SECTION. 16.163 Charter school facilities
2 revolving loan program fund — credit enhancement agreements.

3 1. *a.* A charter school facilities revolving loan program
4 fund is created within the authority to assist charter
5 schools established pursuant to chapter 256E, subchapter I,
6 in acquiring suitable school facilities. The moneys in the
7 charter school facilities revolving loan program fund are
8 appropriated to the authority for use in the development and
9 operation of a charter school facilities revolving loan program
10 to assist charter schools in purchasing, acquiring, developing,
11 reconstructing, remodeling, or replacing school buildings.

12 *b.* Moneys transferred by the authority for deposit
13 in the charter school facilities revolving loan program
14 fund, moneys appropriated to the charter school facilities
15 revolving loan program, and any other moneys available to
16 and obtained or accepted by the authority for placement in
17 the charter school facilities revolving loan program fund
18 shall be deposited in the fund. Additionally, payment of
19 interest, recaptures of awards, and other repayments to the
20 charter school facilities revolving loan program fund shall
21 be deposited in the fund. Notwithstanding section 12C.7,
22 subsection 2, interest or earnings on moneys in the charter
23 school facilities revolving loan program fund shall be credited
24 to the fund. Notwithstanding section 8.33, moneys that remain
25 unencumbered or unobligated at the end of the fiscal year shall
26 not revert but shall remain available for the same purpose in
27 the succeeding fiscal year.

28 *c.* The authority shall annually allocate moneys available in
29 the charter school facilities revolving loan program fund to
30 assist charter schools in purchasing, acquiring, developing,
31 reconstructing, remodeling, or replacing school buildings.

32 2. In addition to the charter school facilities revolving
33 loan program authorized pursuant to subsection 1, the authority
34 is authorized to make or enter into a liquidity or credit
35 enhancement agreement with a charter school established

1 pursuant to chapter 256E, subchapter I, to assist the charter
2 school in purchasing, acquiring, developing, reconstructing,
3 remodeling, or replacing school buildings.

4 Sec. 73. CODE EDITOR DIRECTIVE. The Code editor shall
5 designate section 16.163, as enacted in this division of
6 this Act, as a new section within chapter 16, subchapter X,
7 part 6, and may redesignate the preexisting part and correct
8 internal references as necessary, including references to part
9 headnotes.

10 DIVISION VII

11 EDUCATION SAVINGS ACCOUNTS

12 Sec. 74. Section 257.11B, subsections 3 and 4, Code 2026,
13 are amended to read as follows:

14 3. a. (1) On or after January 1, but on or before June
15 30, preceding the school year for which the education savings
16 account payment is requested, the parent or guardian of an
17 eligible pupil may request an education savings account payment
18 by submitting an application to the department of education.

19 (2) On or after October 15, but on or before November 15,
20 preceding the semester for which the education savings account
21 payment is requested, the parent or guardian of an eligible
22 pupil may request an education savings account payment by
23 submitting an application to the department of education.

24 b. ~~Within thirty days following~~ Following submission of an
25 application, the department of education or third-party entity
26 shall notify the parent or guardian of each pupil approved for
27 the following school year or semester and specify the amount of
28 the education savings account payment for the pupil, if known
29 at the time of the notice. As soon as practical following the
30 processing of all applications, the department of education or
31 third-party entity shall determine the number of pupils in each
32 school district approved for the school budget year and provide
33 such information to the department of management.

34 c. Education savings account payments shall only be
35 approved for one school year or one semester, as applicable,

1 and applications must be submitted annually for payments in
2 subsequent school years.

3 4. Each education savings account payment shall be equal to
4 the regular program state cost per pupil for the same school
5 budget year; provided, however, that an education savings
6 account payment shall be equal to fifty percent of the regular
7 program state cost per pupil for the same school budget year if
8 the pupil's parent or guardian submitted an application under
9 subsection 3, paragraph "a", subparagraph (2).

10 DIVISION VIII

11 INDEPENDENT ACCREDITATION

12 Sec. 75. Section 256.11, subsection 16, Code 2026, is
13 amended by adding the following new paragraphs:

14 NEW PARAGRAPH. d. (1) If an approved independent
15 accrediting agency deaccredits a nonpublic school, the
16 nonpublic school shall not seek accreditation from an
17 independent accrediting agency that is on the approved list
18 pursuant to paragraph "a" for a period of three years beginning
19 on the date the approved independent accrediting agency
20 deaccredited the nonpublic school.

21 (2) If an approved independent accrediting agency
22 deaccredits a nonpublic school, the nonpublic school may
23 immediately seek accreditation under subsection 10.

24 NEW PARAGRAPH. e. (1) This subsection shall not be
25 construed to authorize the state or any political subdivision
26 of the state to exercise authority over any nonpublic school or
27 construed to require a nonpublic school to modify its academic
28 standards for admission or educational program.

29 (2) This section shall not be construed to expand the
30 authority of the state or any political subdivision of the
31 state to impose regulations upon any nonpublic school that are
32 not necessary to implement this section.

33 (3) Rules adopted by the state board of education to
34 implement this section that impose an undue burden on a
35 nonpublic school are invalid.

1 (4) A nonpublic school shall be given the maximum freedom
2 possible to provide for the educational needs of the school's
3 students, consistent with state and federal law.

4 DIVISION IX

5 SCHEDULE OF TEACHER TRAININGS AND LICENSURE RENEWAL
6 REQUIREMENTS

7 Sec. 76. DEPARTMENT OF EDUCATION — SCHEDULE OF REQUIRED
8 TEACHER TRAINING AND LICENSURE RENEWAL REQUIREMENTS.

9 1. The department of education shall convene and provide
10 administrative support to a task force that shall study the
11 training programs in which teachers in this state are required
12 to participate pursuant to state law and the requirements
13 associated with renewing a teaching license.

14 2. Any expense incurred by a member of the task force
15 shall be the responsibility of the individual member or the
16 respective entity represented by the member.

17 3. The task force shall submit its findings and
18 recommendations to the general assembly on or before
19 December 31, 2026. The recommendations must include specific
20 recommendations related to how to change current law to create
21 a more manageable training program schedule and licensure
22 renewal requirement schedule for teachers.

23 DIVISION X

24 STATEWIDE PRESCHOOL PROGRAM

25 Sec. 77. Section 256.163, subsection 1, paragraph c, Code
26 2026, is amended to read as follows:

27 c. Preschool programs at school districts approved to
28 participate in the preschool program, or at community-based
29 providers approved to directly participate in the preschool
30 program, under chapter 256C.

31 Sec. 78. Section 256C.1, subsection 1, Code 2026, is amended
32 to read as follows:

33 1. "*Approved local program*" means a school district's
34 program or community-based provider's program for four-year-old
35 children approved by the department of education to provide

1 ~~high-quality~~ high-quality preschool instruction.

2 Sec. 79. Section 256C.1, Code 2026, is amended by adding the
3 following new subsection:

4 NEW SUBSECTION. 1A. "*Community-based provider approved*
5 *to directly participate in the preschool program*" means a
6 community-based provider that meets the community-based
7 provider requirements under section 256C.3 and has been
8 approved by the department to directly participate in the
9 preschool program. "*Community-based provider approved to*
10 *directly participate in the preschool program*" does not mean a
11 community-based provider that partners with a school district's
12 approved local program.

13 Sec. 80. Section 256C.3, subsection 1, paragraph b, Code
14 2026, is amended to read as follows:

15 b. If space and funding are available, including funding
16 from another school district account or fund from which
17 preschool program expenditures are authorized by law, a school
18 district approved to participate in the preschool program or
19 community-based provider approved to directly participate in
20 the preschool program may enroll and pay the cost of attendance
21 for a younger or older child in the preschool program; however,
22 the child shall not be counted for state funding purposes.

23 Sec. 81. Section 256C.3, subsection 2, paragraph a,
24 subparagraph (1), Code 2026, is amended to read as follows:

25 (1) The individual is either employed by or under contract
26 with the school district, or with the community-based provider
27 approved to directly participate in the preschool program, that
28 is implementing the program.

29 Sec. 82. Section 256C.3, subsection 3, unnumbered paragraph
30 1, Code 2026, is amended to read as follows:

31 The state board shall adopt rules to further define the
32 following preschool program requirements which shall be used
33 to determine whether or not a local program implemented by a
34 school district approved to implement the preschool program or
35 a community-based provider directly approved to implement the

1 preschool program qualifies as an approved local program:

2 Sec. 83. Section 256C.3, subsection 3, paragraph h, Code
3 2026, is amended to read as follows:

4 *h.* Provision for ensuring that children receiving care from
5 other child care arrangements can participate in the preschool
6 program with minimal disruption due to transportation and
7 movement from one site to another. The children participating
8 in the preschool program may be transported by the school
9 district or community-based provider to activities associated
10 with the program along with other children.

11 Sec. 84. Section 256C.3, Code 2026, is amended by adding the
12 following new subsection:

13 NEW SUBSECTION. 4A. *Community-based provider*

14 *requirements.* The state board shall adopt rules to further
15 define the following requirements of community-based providers
16 approved to directly participate in the preschool program in
17 implementing the preschool program:

18 *a.* Methods of demonstrating readiness to implement
19 high-quality instruction in the local program shall be
20 identified.

21 *b.* A community-based provider shall participate in data
22 collection and performance measurement processes and reporting
23 as defined by rule.

24 *c.* Professional development for community-based provider
25 preschool teachers shall be addressed in the community-based
26 provider's professional development plan.

27 Sec. 85. Section 256C.3, subsection 5, paragraphs a, b, and
28 d, Code 2026, are amended to read as follows:

29 *a.* The department shall implement an application and
30 selection process for school district participation and
31 community-based provider participation in the preschool program
32 that includes but is not limited to the enrollment requirements
33 provided under [section 256C.4](#).

34 *b.* The department shall track the progress of
35 students served by a school district preschool program or

1 community-based provider preschool program and the students'
2 performance in elementary and secondary education.

3 *d.* The state board, in collaboration with the department,
4 shall ensure that the administrative rules adopted to support
5 the preschool program emphasize that children's access to
6 the program is voluntary, that the preschool foundation aid
7 provided to a school district or a community-based provider is
8 provided based upon the enrollment of eligible students in the
9 school district's or community-based provider's local program
10 regardless of whether an eligible student is a resident of the
11 school district, and that agreements entered into by a school
12 district for the provision of programming in settings other
13 than the school district's facilities are between the school
14 district and the private provider.

15 Sec. 86. Section 256C.4, subsection 1, Code 2026, is amended
16 to read as follows:

17 1. ~~*General*~~ *State funding for school district approved to*
18 *participate in the preschool program.*

19 *a.* State funding provided under the preschool program to
20 school districts shall be based upon the enrollment of eligible
21 students in the preschool programming provided by a school
22 district approved to participate in the preschool program.

23 *b.* A school district approved to participate in the
24 preschool program may authorize expenditures for the district's
25 preschool programming from any of the revenue sources available
26 to the district from the sources listed in [chapter 298A](#),
27 provided the expenditures are within the uses permitted for the
28 revenue source. In addition, the use of the revenue source
29 for preschool or prekindergarten programming must have been
30 approved prior to any expenditure from the revenue source for
31 the district's approved local program.

32 *c.* Funding provided under the preschool program is intended
33 to supplement, not supplant, existing public funding for
34 preschool programming.

35 *d.* Preschool foundation aid funding shall not be commingled

1 with the other state aid payments made under [section 257.16](#)
2 to a school district and shall be accounted for by the local
3 school district separately from the other state aid payments.
4 Preschool foundation aid payments made to school districts are
5 miscellaneous income for purposes of [chapter 257](#). A school
6 district shall maintain a separate listing within its budget
7 for preschool foundation aid payments received and expenditures
8 made. A school district shall certify to the department of
9 education that preschool foundation aid funding received by
10 the school district was used to supplement, not supplant,
11 moneys otherwise received and used by the school district for
12 preschool programming.

13 e. Preschool foundation aid funding shall not be used
14 for the costs of constructing a facility in connection
15 with an approved local program. Preschool foundation aid
16 funding may be used by approved local programs and ~~community~~
17 ~~providers~~ community-based providers that partner with a
18 school district's local program for any purpose determined
19 by the board of directors of the school district to meet
20 standards for high-quality preschool instruction and for
21 purposes that directly or indirectly benefit students
22 enrolled in the approved local program, including but not
23 limited to professional development for preschool teachers,
24 instructional equipment and supplies, material and equipment
25 designed to develop pupils' large and small motor skills,
26 translation services, playground equipment and repair costs,
27 food and beverages used by children in the approved local
28 program, safety equipment, facility rental fees, and for
29 other direct costs that enhance the approved local program,
30 including by contracting with community partners for any
31 such services. Preschool foundation aid funding may be used
32 by approved local programs for the costs of transportation
33 involving children participating in the preschool program.
34 The costs of transporting other children associated with the
35 preschool program or transported as provided in section 256C.3,

1 subsection 3, paragraph "h", may be prorated by the school
2 district. Preschool foundation aid funding received by an
3 approved local program that remains unexpended and unobligated
4 at the end of a fiscal year beginning on or after July 1, 2017,
5 shall be used to build the approved local program's preschool
6 program capacity in the next succeeding fiscal year excluding
7 that portion of such unexpended and unobligated funding that
8 the school district authorizes for transfer for deposit in the
9 school district's flexibility account established under section
10 298A.2, subsection 2, if the statutory requirements for the use
11 of such funding are met. For purposes of determining whether a
12 school district has authority to transfer preschool foundation
13 aid funding for deposit in the school district's flexibility
14 account established under [section 298A.2, subsection 2](#), the
15 school district must have provided preschool programming
16 during the fiscal year for which funding remains unexpended
17 and unobligated to all eligible students for whom a timely
18 application for enrollment was submitted.

19 *f.* The receipt of funding by a school district for the
20 purposes of [this chapter](#), the need for additional funding
21 for the purposes of [this chapter](#), or the enrollment count of
22 eligible students under [this chapter](#) shall not be considered
23 to be unusual circumstances, create an unusual need for
24 additional funds, or qualify under any other circumstances that
25 may be used by the school budget review committee to grant
26 supplemental aid to or establish a modified supplemental amount
27 for a school district under [section 257.31](#).

28 *g.* For the fiscal year beginning July 1, 2015, and each
29 succeeding fiscal year, of the amount of preschool foundation
30 aid received by a school district for a fiscal year in
31 accordance with [section 257.16](#), not more than five percent may
32 be used by the school district for administering the district's
33 approved local program. Outreach activities and rent for
34 facilities not owned by the school district are permissive uses
35 of the administrative funds.

1 *h.* For the fiscal year beginning July 1, 2015, and each
2 succeeding fiscal year, of the amount of preschool foundation
3 aid received by a school district for a fiscal year in
4 accordance with [section 257.16](#), not less than ninety-five
5 percent of the per pupil amount shall be passed through to
6 a community-based provider for each pupil enrolled in the
7 district's approved local program. For the fiscal year
8 beginning July 1, 2015, and each succeeding fiscal year, not
9 more than ten percent of the amount of preschool foundation aid
10 passed through to a community-based provider may be used by the
11 community-based provider for administrative costs. The costs
12 of outreach activities and rent for facilities not owned by
13 the school district are permissive administrative costs. The
14 costs of transportation involving children participating in the
15 preschool program and other children may be prorated.

16 Sec. 87. Section 256C.4, Code 2026, is amended by adding the
17 following new subsection:

18 NEW SUBSECTION. 1A. *State preschool funding for*
19 *community-based providers approved to directly participate in the*
20 *preschool program.*

21 *a.* State preschool funding shall not be used for the costs
22 of constructing a facility in connection with an approved
23 local program. Preschool foundation aid funding may be used
24 by community-based providers for any purpose determined by the
25 community-based provider to meet standards for high-quality
26 preschool instruction and for purposes that directly or
27 indirectly benefit students enrolled in the approved local
28 program, including but not limited to professional development
29 for preschool teachers, instructional equipment and supplies,
30 material and equipment designed to develop pupils' large and
31 small motor skills, translation services, playground equipment
32 and repair costs, food and beverages used by children in the
33 approved local program, safety equipment, facility rental fees,
34 and for other direct costs that enhance the approved local
35 program, including by contracting with other community partners

1 for any such services. State preschool funding may be used
2 by approved local programs for the costs of transportation
3 involving children participating in the preschool program.
4 Preschool foundation aid funding received by a community-based
5 provider approved to directly participate in the preschool
6 program that remains unexpended and unobligated at the end
7 of a fiscal year shall be used to build the community-based
8 provider's capacity in the next succeeding fiscal year.

9 **b.** For the fiscal year beginning July 1, 2025, and each
10 succeeding fiscal year, of the amount of state preschool
11 funding received by a community-based provider approved
12 to directly participate in the preschool program for a
13 fiscal year, not more than five percent may be used by the
14 community-based provider for administering the approved local
15 program. Outreach activities and rent for facilities not owned
16 by the community-based provider are permissive uses of the
17 administrative funds.

18 Sec. 88. Section 256C.4, subsection 2, paragraph a, Code
19 2026, is amended to read as follows:

20 **a.** To be included as an eligible student in the enrollment
21 count of the preschool programming provided by a school
22 district approved to participate in the preschool program or
23 a community-based provider approved to directly participate
24 in the preschool program, a child must be four years of age
25 by September 15 in the base year and attending the school
26 district's or community-based provider's approved local
27 program.

28 Sec. 89. Section 256C.5, subsection 1, paragraphs c and d,
29 Code 2026, are amended to read as follows:

30 **c.** "*Preschool budget enrollment*" means the figure that is
31 equal to fifty percent of the actual enrollment of eligible
32 students in the preschool programming provided by a school
33 district approved to participate in the preschool program or a
34 community-based provider approved to directly participate in
35 the preschool program on October 1 of the base year, or the

1 first Monday in October if October 1 falls on a Saturday or
2 Sunday.

3 *d. "Preschool foundation aid" means the product of the*
4 *regular program state cost per pupil for the budget year*
5 *multiplied by the school district's preschool budget enrollment*
6 *or the community-based provider's preschool budget enrollment.*

7 Sec. 90. Section 256C.5, Code 2026, is amended by adding the
8 following new subsection:

9 NEW SUBSECTION. 2A. *Preschool foundation aid community-based*
10 *provider amount.* For the initial school year for which a
11 community-based provider approved to directly participate in
12 the preschool program receives that approval and implements
13 the preschool program, the preschool foundation aid payable
14 to the community-based provider is the product of the regular
15 program state cost per pupil for the school year multiplied
16 by fifty percent of the community-based provider's eligible
17 student enrollment on the date in the school year determined
18 by rule. For budget years subsequent to the initial year
19 for which a community-based provider approved to directly
20 participate in the preschool program receives that initial
21 approval and implements the preschool program, the preschool
22 foundation aid is the same as calculated pursuant to subsection
23 1. The funding for the preschool foundation aid payable to the
24 community-based provider shall be paid from the appropriation
25 made in section 257.16. Continuation of a community-based
26 provider's participation in the preschool program for a second
27 or subsequent budget year is subject to the approval of the
28 department based upon the community-based provider's compliance
29 with accountability provisions and the department's on-site
30 review of the community-based provider's implementation of the
31 preschool program.

32 Sec. 91. Section 256C.5, subsection 3, Code 2026, is amended
33 to read as follows:

34 3. *Aid payments.*

35 a. Preschool foundation aid shall be paid as part of the

1 state aid payments made to school districts in accordance with
2 section 257.16.

3 b. Preschool foundation aid paid directly to community-based
4 providers shall be paid to the community-based provider in
5 monthly installments beginning on September 15 of a budget year
6 and ending on or about June 15 of the budget year as determined
7 by the department of management, taking into consideration the
8 relative budget and cash position of the state resources.

9 Sec. 92. EMERGENCY RULES. The state board of education may
10 adopt emergency rules under section 17A.4, subsection 3, and
11 section 17A.5, subsection 2, paragraph "b", to implement the
12 provisions of this division of this Act and the rules shall
13 be effective immediately upon filing unless a later date is
14 specified in the rules. Any rules adopted in accordance with
15 this section shall also be published as a notice of intended
16 action as provided in section 17A.4.

17 DIVISION XI

18 SCHOOL TUITION ORGANIZATIONS — PRESCHOOL STARTUP COSTS

19 Sec. 93. SCHOOL TUITION ORGANIZATIONS — PRESCHOOL STARTUP
20 COSTS.

21 1. As used in this section:

22 a. "Preschool" means a nonpublic provider of preschool
23 services that commenced operations in 2025; is located in a
24 city with a population of greater than thirty-nine thousand
25 but less than forty thousand according to the 2020 federal
26 decennial census; and is located in a county with a population
27 of greater than one hundred fifty-five thousand but less than
28 one hundred eighty thousand, according to the 2020 federal
29 decennial census.

30 b. "School tuition organization" means the same as defined
31 in section 422.11S, subsection 6.

32 2. a. Notwithstanding any provision of law to the contrary,
33 a school tuition organization that represents schools located
34 in a county with a population of greater than one hundred
35 fifty-five thousand but less than one hundred eighty thousand,

1 according to the 2020 federal decennial census, may provide
2 funding to a preschool in an amount up to the costs the
3 preschool incurred in its first year of operation related to
4 the provision of preschool services.

5 b. Payments made pursuant to paragraph "a" shall not count
6 toward the allocation of annual revenue standards established
7 in section 422.11S, subsection 6, paragraph "c", subparagraph
8 (1).

9 DIVISION XII

10 MISCELLANEOUS PROVISIONS

11 Sec. 94. Section 261E.8, subsection 2, paragraph a, Code
12 2026, is amended to read as follows:

13 a. (1) Students from accredited nonpublic schools, and
14 students receiving competent private instruction or independent
15 private instruction under chapter 299A, and students from
16 charter schools established pursuant to chapter 256E may access
17 the program through the school district in which the accredited
18 nonpublic school, or private institution, or charter school is
19 located.

20 (2) Students from charter schools established pursuant to
21 chapter 256E that provide educational instruction and course
22 content that is delivered entirely over the internet may access
23 the program through the students' school district of residence.

24 Sec. 95. Section 282.18, subsection 2, paragraph b, Code
25 2026, is amended to read as follows:

26 b. (1) The board of the receiving district shall enroll the
27 pupil in a school in the receiving district for the following
28 school year unless the receiving district has insufficient
29 classroom space for the pupil or unless the receiving district
30 has prohibited the pupil from enrolling pursuant to subsection
31 14. The board of directors of a receiving district may adopt
32 a policy granting the superintendent of the school district
33 authority to approve open enrollment applications. If the
34 request is granted, the board shall transmit a copy of the form
35 to the parent or guardian and the school district of residence

1 within five days after board action, but not later than June
2 1 of the preceding school year. The parent or guardian may
3 withdraw the request at any time prior to the start of the
4 school year.

5 (2) A denial of a request by the board of a receiving
6 district is not subject to appeal. The board of a receiving
7 district, or the superintendent of the receiving district
8 if the board of the receiving district has adopted a policy
9 granting the superintendent the authority to approve open
10 enrollment applications, shall document the reason for the
11 denial of a request and submit information related to the
12 denial to the department of education in a manner prescribed
13 by the department.

14 DIVISION XIII

15 IMMEDIATE EFFECTIVE DATE

16 Sec. 96. EFFECTIVE DATE. This Act, being deemed of
17 immediate importance, takes effect upon enactment.>

18 2. Title page, by striking lines 1 through 9 and inserting
19 <An Act relating to education, including by modifying
20 provisions related to charter school approval, contracts,
21 funding, and operations, services provided to charter
22 schools by area education agencies, charter school student
23 participation in extracurricular activities provided by
24 public schools, the Iowa public employees' retirement system,
25 education savings accounts, independent accreditation,
26 teacher training and licensure, the statewide voluntary
27 preschool program, the district-to-community college sharing
28 or concurrent enrollment program, open enrollment, school
29 tuition organizations, and innovation zone schools; making
30 appropriations; and including effective date and applicability
31 provisions.>